



EQUITY BANK GROUP

Investor Briefing 30TH June 2010 Performance



Evolving Operating Environment

- Good Weather for agricultural sector
- Tourism sector growth
- Reforms
 - Political – Progress on new Constitution with upcoming referendum
 - Economic – Projected 5% GDP Growth rate
 - Social-focus on equity
- Recovery from post election crisis
- Vision 2030-Implementation opportunities
- Large Market - EAC Common Markets Protocol
- Recovery from Global Financial Crisis

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Strategic Focus



Economies of Scale

- Level 4 Data Centre
- 65 million Way4 Card Switch
- 35 million accounts core banking software
- New Equity Centre-Adequate Head office space
- Enhanced Brand



Innovation Agenda

- Collaboration with Telcos- i.e MPESA services at Equity ATMs
- M-Kesho Account
- Merchant Acquiring
- VISA/MasterCard Acquiring
- Agency Model
- Customer Experience
- Brand Evolution
- Continuous Alignment



Performance Review

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Key Business Drivers		
	June 2009	June 2010
No. of Branches	145	165
No. of Deposit Accounts	3,918,326	4,959,666
No. of Loan Accounts	710,349	833,819
No. of ATMs	494	550
No. of Staff	5,056	5,168

Key Financial Highlights Balance Sheet			
	Group June 09 Billions	June 10 Billions	Growth %
Loans (Net)	53.8	68.3	27 %
Deposits	57.5	87.8	53 %
Total Assets	87.7	122.5	40 %

Key Financial Highlights Income Statement			
	Group June 09 Billions	June 10 Billions	Growth %
Interest Income	5.061	7.313	45 %
Commissions Income	2.886	3.816	32 %
Total Income	7.237	10.122	40 %
Operating Expenses	4.605	6.278	36 %
Profit before tax	2.655	3.880	46 %
Profit after tax	2.097	3.010	44 %

Key Financial Highlights Income Statement			
	Group June 09 millions	June 10 millions	Growth %
Loan Loss Provision	296	920	211 %
Staff Costs	2,085	2,428	16 %
Depreciation costs	509	735	44 %
Rental Charges	281	329	17 %
Other Expenses	1,434	1,854	29 %

Trend in Quality of Loan Book						
	2006	2007	2008	2009	March 2010	June 2010
Gross NPL	795	1,198	2,647	5,083	4,790	4,337
Gross NPL / GL	7.0 %	5.4 %	5.9 %	7.7 %	6.3 %	6.2 %
Coverage of NPL	48 %	35 %	34 %	41 %	46 %	41 %
Asset Quality	3.6 %	3.5 %	3.8 %	4.6 %	3.8 %	3.7 %

Key Capability Indicators		
Ratios	Industry Average*	June 2010
Return on Equity	23 %	25 %
Return on Assets	3.1 %	5.4 %
Cost to Income Ratio	66 %	62 %

* Industry average figures based on published results as at 31st Mar-10

Key Performance Indicators



Statutory Compliance	Statutory Minimum	June 2010
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Core Capital/Total Deposit Liabilities	8 %	21 %
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Core Capital/Total Risk Weighted Assets	8 %	22 %
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Total Capital/Total Risk Weighted Assets	12 %	29 %
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Liquidity Ratio	20 %	43 %
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THANK YOU

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